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★★★★ \$5.00

DJIA 47927.96 ▲ 559.33 1.18%

NASDAQ 23468.30 ▼ 0.3%

STOXX 600 580.13 ▲ 1.3%

10-YR. TREAS. Closed (4.109%)

OIL \$61.04 ▲ \$0.91

GOLD \$4,106.80 ▼ \$5.00

EURO \$1.1583

YEN 154.17

What's News

Business & Finance

◆ **The path for interest-rate cuts** has been clouded by an emerging split within the central bank with little precedent during Fed Chair Jerome Powell's nearly eight-year tenure. **A1**

◆ **Major U.S. stock indexes** ended mixed, with the S&P 500 and Dow rising 0.2% and 1.2%, respectively, and the Nasdaq falling 0.3%. **B12**

◆ **The U.S. shed an average** of 11,250 private-sector jobs a week in the four weeks ended Oct. 25, ADP said. **A2**

◆ **Anthropic is on track** to turn a profit much faster than its artificial intelligence rival OpenAI, documents from the companies indicate. **A1**

◆ **SoftBank sold its stake** in Nvidia for \$5.8 billion as the global tech investor pulls together cash to plow into its massive bet on OpenAI. **B1**

◆ **Shortages of advanced** semiconductors are so acute that Beijing has begun intervening in how the output of China's largest contract chip maker, SMIC, is distributed. **B1**

◆ **Microsoft and Google** said they would invest more than \$16 billion to expand artificial-intelligence infrastructure in Europe. **B3**

◆ **Blackstone's global** co-head of real estate, Kathleen McCarthy Baldwin, said she plans to leave the firm at the end of the year. **B6**

◆ **Vodafone shares rose** after the company returned to top-line growth in Germany after being hampered by regulatory changes there for more than a year. **B4**

World-Wide

◆ **Fannie Mae watchdogs** who were removed from their jobs had been probing if Trump appointee Bill Pulte had improperly obtained mortgage records of key Democratic officials, including New York Attorney General Letitia James. **A1**

◆ **The U.S. Navy's** largest aircraft carrier arrived in waters near Latin America, expanding the military's buildup as the Trump administration seeks to increase pressure on Venezuela's President Maduro. **A3**

◆ **The Supreme Court** said the Trump administration could continue for now to withhold funds to pay the full amount of federal food-assistance benefits for November. **A2**

◆ **China plans to ease** the flow of rare earths and other restricted materials to the U.S. with a system that distinguishes between acceptable and unacceptable end users. **A3**

◆ **The Trump administration** is poised to unveil a plan that would allow oil drilling off California and a proposal for drilling around Alaska and the eastern Gulf of Mexico. **A3**

◆ **Pakistan blamed** India-backed militants for a suicide bombing that killed 12 people in Islamabad as India vowed to hunt down the perpetrators of a car explosion in New Delhi the day before. **A7**

◆ **Infant-formula maker** By-Heart recalled all of its products in the U.S. after the FDA opened an investigation of a multi-state botulism outbreak. **A3**

◆ **Died: Sally Kirkland**, 84, stage and screen performer. **A6**

JOURNAL REPORT

Technology: Why Aaron Paul gave up his smartphone. **R1-8**

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Flags Wave, Military Parades on Veterans Day



BRENDAN McDONNELL/REUTERS

IN THE RANKS: Members of the Navy marched up Fifth Avenue in New York City for the Veterans Day Parade, one of many celebrations Tuesday. More military families, facing a financial squeeze, have been showing up at food pantries. **A4**

China Plots Victory in AI Cold War

U.S. holds sizable lead, but Beijing bets that 'swarms beat the titan'

By JOSH CHIN
AND RAFFAELE HUANG

China's leaders were anxious and frustrated. The world's most promising new technology was being domi-

nated by OpenAI, Google and other American companies.

Chinese tech companies were so far behind on generative artificial intelligence early last year that many were relying on Meta Platforms' open-source Llama models, which can be downloaded for free. Worse, U.S. restrictions on exports of top-end AI chips threatened to hobble China even further.

So in the spring of 2024,

Beijing ratcheted up pressure on tech executives. One leading Chinese AI company told

The Wall Street Journal it fielded calls from 10 different government agencies in a single month urging action on native AI models. The country relaxed regulations, rolled out funding and rushed to install computing power.

Nine months later, Chinese startup DeepSeek turned heads in Silicon Valley with a

powerful new AI model. Hope began to take hold.

"China finally has a model it can be proud of," Premier Li Qiang told officials, according to people familiar with the

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- ◆ **What Washington can do to help in the AI race.....** R1
- ◆ **U.S. chip restrictions hit China.....** B1
- ◆ **SoftBank sells Nvidia stake for \$5.8 billion.....** B1

Anthropic Leads OpenAI in Profit Race

By BERBER JIN

The finances of Silicon Valley's two largest artificial-intelligence startups show their diverging approaches to the AI boom, with Anthropic on a pace to turn a profit far more quickly than rival OpenAI, according to documents obtained by The Wall Street Journal.

Anthropic, which has a growing number of business users because of the capabilities of its Claude chatbot in coding and other arenas, expects to break even for the

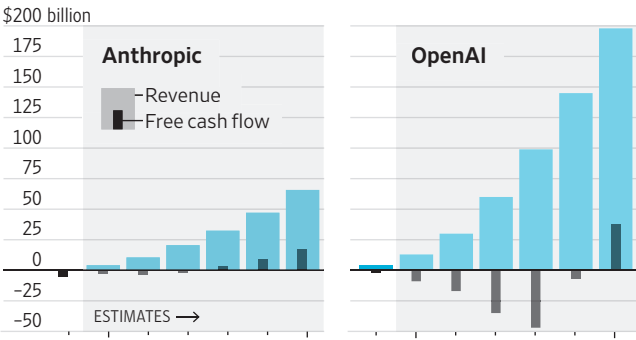
first time in 2028, the documents show.

By contrast, OpenAI forecasts its operating losses that year to swell to about \$74 billion—or about three-fourths of revenue—because of ballooning spending on computing costs. The ChatGPT-maker also expects to burn through about 14 times as much cash as Anthropic before turning a profit in 2030.

The financial road maps, both shared with investors this summer, suggest that the

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Revenue versus free cash flow, annually



Source: Company projections provided to investors

Ousted Watchdogs Had Probed Trump Official

Fannie Mae watchdogs who were removed from their jobs had been probing if Trump appointee Bill Pulte had improperly obtained mortgage records of key Democratic

By Gina Heeb,
Brian Schwartz
and C. Ryan Barber

officials, including New York Attorney General Letitia James, according to people familiar with the matter.

Fannie's ethics and investigations group had received internal complaints alleging senior officials had improperly directed staff to access the mortgage documents of James

and others, according to the people. The Fannie investigators were probing to find out who had made the orders, whether Pulte had the authority to seek the documents and whether or not they had followed proper procedure, the people said.

That group elevated the probe about the James documents to the more senior Office of Inspector General for the Federal Housing Finance Agency, the agency that oversees Fannie Mae and Freddie Mac and that Pulte heads, the people said. The acting inspector general then passed the report to the U.S. attorney's office.

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President Eyes Curbing Proxy Firms

By JACK PITCHER
AND EMILY GLAZER

The White House is exploring measures to curb the influence of proxy advisers and index-fund managers, wading into a hot-button debate raised by high-profile chief executives including Elon Musk and Jamie Dimon in recent months.

Trump administration officials are discussing at least one executive order that would restrict proxy-advisory firms such as Institutional Shareholder Services and Glass Lewis, people familiar with the matter said. That could include a broad ban on shareholder recommendations or an order blocking recommendations on companies that have engaged proxy advisers for consulting

work, the people said.

Officials are also exploring limits on how index-fund managers are allowed to vote, seeking to curtail the power of behemoths like BlackRock, Vanguard Group and State Street, the people said. Those three firms together own on behalf of clients about 30% or more of many of the biggest

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The Grinch Of SantaCon Comes Around

* * *
John Law tries to make peace with his creation

By ROBERT MCMILLAN

Many people loathe SantaCon, the annual event that brings the sound of sleigh bells and the sight, and smell, of hundreds of drunken Santas to city streets around the world. Until recently, John Law avoided the event—which is strange because he helped create it more than 30 years ago.

Then he grew disillusioned and embarrassed by what it had become.

But a new documentary about the history of SantaCon features an unexpected sight: Law, donning a red cap, parading through the streets of New York as a mob of revelers

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INSIDE



U.S. NEWS

Companies say they are likely to add far fewer workers this holiday season. **A2**



SPORTS

The Mavericks fire the mastermind behind the worst trade in NBA history. **A16**

December Rate-Cut Decision Divides The Fed

Data blackout fueled inflation hawks' bid to pause reductions; rupture tests Powell

By NICK TIMIRAO

The path for interest-rate cuts has been clouded by an emerging split within the central bank with little precedent during Federal Reserve Chair Jerome Powell's nearly eight-year tenure.

Officials are fractured over which poses the greater threat—persistent inflation or a sluggish labor market—and even a resumption of official economic data might not bridge the differences.

The rupture has complicated what looked like a workable plan less than two months ago, though investors think a rate cut at the Fed's next meeting is still more likely than not.

When policymakers agreed to cut rates by a quarter of a percentage point in September, 10 of 19 officials, a slim majority, penciled in cuts for October and December. Cutting rates at three consecutive meetings would echo the downward adjustments Powell made last year and in 2019.

But a contingent of hawks questioned the need for further reductions. Their resistance hardened after officials reduced rates again in late October to the current range between 3.75% and 4%. The debate over what to do in December was especially contentious, with hawks forcefully challenging the presumption of a third cut, according to public comments and recent interviews.

Indeed, a key reason Powell pushed back so bluntly against expectations of such a cut at the news conference that day was to manage a committee riven by seemingly unbridge-

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◆ **Shutdown's economic drag will be hard to quantify... A4**

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